

1. Debtor countries with independent monetary policy (e.g., U.S., U.K.).
2. Debtor countries without independent monetary policy (e.g., Greece, Portugal).
3. Creditor countries with independent monetary policy (e.g., Brazil).
4. Creditor countries without independent monetary policy (e.g., China because it pegs its currency to the dollar, which impedes its ability to raise interest rates).

Dalio loves mistakes because he believes that mistakes provide learning experiences that are the catalyst for improvement. The concept that mistakes are the path to progress is one of the pillars of Dalio's life philosophy and the Bridgewater culture. Dalio is almost reverential in his comments about mistakes:

I learned that there is an incredible beauty to mistakes because embedded in each mistake is a puzzle and a gem that I could get if I solved it, i.e., a principle that I could use to reduce my mistakes in the future. I learned that each mistake was probably a reflection of something that I was (or others were) doing wrong, so if I could figure out what that was, I could learn how to be more effective. . . . While most others seem to believe that mistakes are bad things, I believe mistakes are good things because I believe that most learning comes via making mistakes and reflecting on them.

Dalio has set down his life philosophy and management concepts in *Principles*, a 111-page document that defines the Bridgewater culture and is required reading for employees. *Principles* is divided in two sections, the first, which Dalio calls "My Most Fundamental Principles," and the second, a resulting compendium of 277 management rules. Not surprisingly, many of the management rules focus on mistakes. A sampling:

- *Recognize that mistakes are good if they result in learning.*
- *Create a culture in which it is okay to fail but unacceptable not to identify, analyze, and learn from mistakes.*
- *We must bring mistakes into the open and analyze them objectively, so managers need to foster a culture that makes this normal and penalizes suppressing or covering up mistakes—highlighting them, diagnosing*